Louisa County Water Authority
Board of Directors
March 13, 2024

MEMBERS PRESENT: Mr. Judson Foster, Chairman; Mr. William Douglas Smith, Vice-Chairman; Mr. David Kies; Mr. Tom Filer; Mr. Byron Wilson; Mr. Robert Morgan (*arrived at 6:13 pm*)

MEMBERS ABSENT: Mr. Robert Hardy

OTHERS PRESENT: Ms. Pam Baughman, General Manager; Ms. Danielle Mychajlonka, Human Resources; Mr. Hunter Martin, Water Operation Manager; Mr. Manning Woodward, Louisa County Board of Supervisors; Mr. Dale Mullen, Interim County Attorney

A. Call to Order

Chairman Foster called the meeting to order at 6:00 pm.

1. ADOPTION OF THE AGENDA

Chairman Foster asked if there were any changes or additions to the agenda. Ms. Baughman asked to add an additional closed session for the purpose of discussion of personnel matters. Mr. Smith made a motion to adopt the agenda as amended. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

B. Presentations

C. Citizen Information

D. Consent Agenda

2. APPROVAL OF THE MINUTES:

A. FEBRUARY 14, 2024 – REGULAR BUSINESS MEETING

3. TREASURER'S REPORT:

A. O & M REPORT / CAPITAL REVENUE & EXPENDITURE REPORT – FEBRUARY 2024
B. APPROVAL OF DISBURSEMENTS – FEBRUARY 2024

C. CONSTRUCTION FUND – FEBRUARY 2024

The Board reviewed the Consent Agenda and Treasurer's Report.

Upon completion of the review of the Consent Agenda, including the Treasurer's Report, Mr. Smith made a motion to approve. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

E. Old Business

4. UPDATE – JAMES RIVER WATER PROJECT

Two documents are needed to finalize the Virginia Resources Authority (VRA) financing application, both are in the middle of the 30-day comment period which ends on March 18, 2024. The first is the Treatment Plan, for the reinterment of any human remains discovered during construction. As of March 8, 2024, a few substantive comments have been received. It has been agreed upon that the Treatment Plan will be finalized after the permit is issued. The second is the Memorandum of Agreement. To date no comments have been received.

Next Steps: If no comments are received on the Memorandum of Agreement, it could be issued for signatures. Regulation allows for a 15-day signature period. The Memorandum of Agreement could be finalized by early April. The consultants believe it is likely that the permit will be issued by April 15, 2024, but an additional 15-day review period could be added if the opportunity to receive further comments was desired.

Three signatures will be required on the Memorandum of Agreement besides the local authorities; the Advisory Council on Historic Preservation, the Army Corps of Engineers, and the Department of Historic Resources.

The trees are coming down with a completion date of March 31, 2023. The trees cannot be removed once they are on the ground until the Army Corps of Engineers permit has been issued. Challenges: receiving the Army Corps of Engineers permit, wetlands credits along the waterline and the pump station site has wetlands issues that need to be to resolved. The pump station wetlands mitigation is critical to keeping the project moving along. Faulconer Construction has a meeting scheduled with the Timmons Group on March 14, 2024, to keep the project on schedule. The trees on the pump station site (Rose Property) are being cut today, March 13, 2024.

Property acquisition: 13 of 16 offers have been made to property owners for easements. 12 have been finalized. These numbers do not include the pump station site (Rose Property). $27,000 in easement acquisition has been paid out. Eminent Domain will be exercised on one property due to the number of unknown heirs to the property (approximately 20).

Being able to participate in the spring funding pool is the goal, but the James River Water Authority is also preparing for the possibility of interim or bridge financing if the deadline is missed for receiving all the required permits to continue the construction. If the spring funding pool goal is not attained, the summer funding pool begins in May, with disbursements beginning in August. Not making the spring funding pool could cause further delays in construction and drive the final costs higher.

5. NORTHEAST CREEK WATER TREATMENT PLANT

A. NECWTP SEDIMENTATION BASINS IMPROVEMENT (SLUDGE VAC-SYSTEM UPDATE)

The Sedimentation Basins Improvement (Sludge Vac-System) is currently out for bid. The bid closing date is March 27, 2024.

B. 4th OPERATOR

Advertising continues for a 4th water plant operator for the Northeast Creek Water Treatment Plant. Human Resources is currently scheduling interviews with trainees for the position since licensed operators are difficult to attract currently.

C. SHOWER REPLACEMENT

Staff is working to acquire proposals for the shower replacement. One has been received from Paisley Kerr.

D. DECKING FOR THE GENERATOR

Staff is working to acquire proposals for the generator decking. One has been received from Paisley Kerr.

6. ZION CROSSROADS WELL SYSTEM UPDATES

A. SPRING CREEK #1 & #2

As reported previously, the meters originally purchased for Spring Creek #1 & #2 were incorrect. The meters did not have the electronic capability of connecting to the communication system. The incorrect meters were removed and returned to Ferguson, the supplier. The correct meters were ordered, with an anticipated delivery date of September 13, 2024. The General Manager asked Core & Main, the supplier of the new meters, to search for the meters everywhere and have them shipped as soon as possible. The 4" meter was in another branch and will be received the week of March 11, 2024. The 6" meter was not available and will need to be ordered. The General Manager asked for the order to be expedited and/or for the manufacturer to assist in locating one.

Remaining items: 1) finalize the interior piping and meter installation, 2) connect the communication system to the new meters, 3) final inspection from Virginia Department of Health – Office of Drinking Water.

B. SPRING CREEK WELL #3 MOTOR REPLACEMENT

On Sunday, February 11, 2024, Spring Creek #3's motor locked up. The pump / motor was pulled, and the new motor installed on Wednesday, February 14, 2024, but difficulties in the reinstallation kept the well offline until Friday, February 16, 2024. A backup pump / motor has been ordered for inventory.

A motion was made by Mr. Wilson to approve the expenditure for Spring Creek #3 in the amount of $25,553.86. The motion was seconded by Mr. Filer and carried 5-0 among the members present.

7. LOUISA REGIONAL WWTP

A. BLOWER

The new blower has been received and installation has been added to the schedule.

B. WATER LEAK

The water leak will be addressed this spring. The leak can be isolated and only leaks when the line is in use.

8. ZION CROSSROADS WWTP

A. LIGHTNING STRIKE

There is one item yet to address, some repairs to the low voltage controls. This will be addressed when annual calibrations area completed. All expenditures to date have been paid by the insurance company, less the deductible.

B. CROSSING POINTE PUMP STATION - DISCUSSION – RATE

Mr. Morgan arrived at 6:13 pm.

The flow meter, part of the punch list items, was installed on Friday, March 8, 2023. Staff are preparing for the flow from the lagoons.

Several calls have been received from Board of Supervisors regarding the rate being charged to the developer to treat the effluent from the lagoons. All flow entering the collection system must be treated. There is no way to segregate flow. The cost to treat wastewater at the Zion Crossroads WWTP for FY2023 was $12.37/1,000. Our current sewage rate is $11.41/1,000. A total cost to treat the effluent from the lagoons for 4,000,000 gallons is $45,640.

Mr. Woodward addressed the Board asking if a tiered approach to treating the effluent from the lagoons on the Crossing Pointe development would be a possibility. Mr. Woodward went on to say that the developer has indicated that the Crossing Pointe project would be able to move along faster if they could recognize a cost savings on treating the lagoon effluent.

The Board discussed several options. If a change in rates were to be considered, a public hearing would need to be held in May 2024, to be able to meet the advertising requirements. The Board discussed the possibility of having a public hearing regarding an increase in user rates, to be discussed later in the agenda at the May or June 2024 meeting.

C. AQUA EXPRESS CARWASH

On Friday, February 16, 2024, The Department of Environmental Quality provided their approval for Aqua Express Carwash, LLC to connect the reuse line for car washing purposes. The Carwash owners realized the cost they would incur making the connection, providing storage, and meeting the regulation. They are currently working on options to reduce water consumption. Authority staff will meet with the carwash owners in August 2024 to reevaluate their use and progress being made to reduce consumption. Once the upgrades to their operation have been made, a new “look-back” period will be set to determine if they need to upsize their meter from a 2” to either a 3” or 4” meter. The upgrades may also indicate that they are within their current meter range and no additional connection fees will be due.

9. UPDATE – NEW BRIDGE WWTP

A. BOOSTER PUMP

One of the two booster pumps was replaced on February 29, 2024. Customers were advised in advance that system pressure should be adequate with the second booster pump and there should not be any loss in service. During the replacement, the second booster pump went out, but Cody Langridge was able to send water directly to the pressure tank from the well averting a boil water notice. The second booster pump has been ordered; lead time is 8 – 12 weeks.

B. COSTS TO DATE BREAKDOWN

The latest cost to date breakdown was provided to the Board for review.

Mr. Smith asked if the normal O & M Costs would be removed from the expenditure list now that revenue is being received. The General Manager replied that the costs were already accounted for in the preliminary budget to be discussed later in the meeting and for the third quarter reports those costs would be removed from the New Bridge Expenditure Listing and included in the O & M Expenditure Statement.

C. DEPARTMENT OF WILDLIFE RESOURCES

The signs and buoys have been received and will be installed in April.

D. SIGN

The determination of the need for a shoreline sign will be made once the signs and buoys have been installed in Lake Anna at the effluent line.

E. LAKE ANNA TOWN HOMES

Nothing to report.

F. FINAL FILTER RENTAL

We have received three quotes from venders for a final filter at the New Bridge WWTP.

1) X2O T/a Xelera2 - $12,000/month for 36 months rental. We would own it at the end of the lease. This is an outside unit. Total cost $432,000.

2) Aqua-Aerobic Systems, Inc. - $7,500/month rental. Requires a concrete pad and an enclosure. This is an inside unit and would require a cover. Could lease for as long as needed but would not own.

3) Municipal Filtration Company, LLC - $72,000 purchase. This is an inside unit and would require a cover. They do not provide a lease option.

The General Manager met with County staff to discuss the options on Monday, March 11, 2024.

1) Sent an email to DEQ – all four reps were out of the office, returning at various times.
2) Spoke with Dan Villhauer – DEQ will require the opportunity to approve and provide a Certificate to Construct (CTC) and ultimately a Certificate to operate (CTO). He doesn't believe the engineering costs to move this along will be a lot. Most of the information needed will be provided to the manufacturer. Connecting everything together will require some engineering work. Dan also wants to make sure this equipment will provide the treatment we need to return to compliance.
3) The rep for MFC got back with us, installation is not included. They recommend a company out of the Fredericksburg area, Patterson Construction. We have worked with them before, they are awesome. I have no idea what that cost will be, but I don't think that it will be extensive. We are setting up an onsite meeting with MFC, Patterson Construction and the engineer.
4) Thinking the $72,000 is now going to be $100,000+ for a filter at the New Bridge WWTP.
5) AND we may have found a company willing to purchase the equipment when we are done with it.

The General Manager reported that there is still work to do to determine if this type of filter will produce positive results and get the New Bridge WWTP back into compliance.

Mr. Mullen, Interim County Attorney, also suggested another meeting with the new NRO Director to discuss some options moving forward.

Every avenue possible is being explored. LCWA staff are very concerned about the exceedances and are doing everything they know how to do to get the facility back into compliance. LCWA staff are also very concerned about the cost of a filtration system and how it will be paid for.

10. LEAD SERVICE LINE INVENTORY

Letters explaining the need to access customer's property to conduct field inventory of service lines for 16 customers were sent on Friday, March 8, 2024. As we receive signed access agreements, field investigations will begin.

11. NORTHEAST CREEK DAM (SOUTH ANNA DAM #22) AND BOWLERS MILL DAM (SOUTH ANNA #2)

A. APPLICATION FOR FUNDING (NORTHEAST CREEK DAM)

The application is complete and has been submitted. Sponsorship agreements will need to be signed by the original sponsors, Hanover-Caroline Planning District, Thomas Jefferson Planning District, and the Louisa County Board of Supervisors.

B. LOW-LEVEL VALVES – EXERCISE

The low-level valves are scheduled to be exercised the first week of April, weather dependent.

Mr. Morrison, a down stream County resident from Bowlers Mill has expressed several concerns regarding the 12" cast iron pipe that runs through the dam and is connected to the pump station used for pumping raw water to ODEC under pressure.

The plan currently is when Bander Smith is onsite for exercising the low-level valves to ask them about the valve for the 12" cast iron pipe. If they feel it can be closed, we will try. If they don't feel it can be closed, we will have them make a proposal to do the needed repairs.

Chris Compton, Maintenance Manager, and the General Manager have discussed staff access and better communication with ODEC to supply their water needs for electric generation.

12. PROPOSAL – ADDITION OF WATER TO ST. FRANCIS

A. TOWN OF MINERAL APPROVAL

Nothing to report.

13. UTILITY STANDARDS

The Town of Louisa has agreed to participate in the updating of the Utility Standards. The General Manager reached out to the engineering firm to update the proposal provided in September 2023.

14. DISCUSSION – BANKING SERVICES RFP

The banking services RFP closed with two providers submitting responses. Carter Bank & Trust and United Bank.

Interviews with the two proposers are scheduled for Friday, March 15, 2024. The Board discussed the options.

F. <u>New Business</u>

15. DISCUSSION – CONTINGENCY PLANNING

A. CRITICAL INVENTORY & BACKUP EQUIPMENT

Louisa Regional WWTP - $10,000 - $15,000 for building system inventory.

Northeast Creek WTP - $10,000 - $15,000 for building system inventory for the nanofiltration equipment.

Zion Crossroads Well System – There are three pumps and motors in inventory currently (7.5 hp, 20 hp and 40 hp) The 50 hp pump and motor has been ordered.

Zion Crossroads WWTP – Staff report their critical inventory is sufficient.

New Bridge Water and Wastewater Facilities – Some inventory is on hand. Critical inventory will be built for the wastewater facility when upgraded. Critical inventory for the water system is ongoing as situations arise. Critical inventory for the collection / distribution system are ongoing.

Collection and Distribution System – Inventory is in good shape. Meters and ERTZ continue to take significant time to receive once ordered. Maintenance reports that they need equipment (skid steer, trailer, truck(s).

<u>The most critical component is staffing</u> – Hiring licensed operators continues to be challenging. New regulations are in the works to provide relief to treatment facilities experiencing difficulties hiring licensed operators.

B. SYSTEM DEFICIENCIES

At Zion Crossroads three "choke points" have been identified –

1) The 18" sewer line from Rt.15 – James Madison Highway to the Zion Crossroads WWTP.

2) The 8" force main.
3) The infrastructure in Spring Creek was never designed to take all the flow from Zion Crossroads and it never included Ferncliff or Shannon Hill.

No Master Plan has ever been completed for the Central Service Area in Louisa County (Served by the Northeast Creek WTP and the Louisa Regional WWTP).

In Central Louisa three "choke points" have been identified –

1) There is talk about 300 homes being built in Mineral. The Town of Mineral's sewer conveyance system will not handle that much additional flow.
2) The 8" force main from Mineral to the gravity line in the Industrial Park will not handle that much additional flow.
3) The 10" gravity line through the Industrial Park to the Louisa Regional WWTP will not handle that much additional flow.

After discussing the identified system deficiencies, Mr. Foster suggested setting up a 2x2 meeting with County Staff and Board of Supervisor members.

16. DISCUSSION – PRELIMINARY BUDGETS

A. SUMMARY STATEMENT OF INCOME
B. DETAILED STATEMENT OF INCOME
C. SUMMARY STATEMENT OF EXPENSES
D. DETAILED STATEMENT OF EXPENSES
F. COMBINED STATEMENT OF INCOME AND EXPENSES

The General Manager provided a preliminary budget for the FY2024 – 2025.

No increase in health insurance.
Changes in VRS Retirement, Health Care Credit and Life Insurance.
Clarification needed for the hire date of a Deputy General Manager and a salary range.
Will need approval to hire a water trainee position for the NEC-WTP in FY2024 2025.
Staff has been provided copies to look at their facilities for any changes.
The last page expense budget shows proposed capital projects to consider. Staff has been asked to prioritize the list for each facility.
The County is budgeting for a 2.5% increase in employee earnings.
Funds for license increases have been included, as well as increases scheduled to employees at the time of employment.

Page 36 shows the shortfall in the O & M budget with no increase and how potential increases in user fees impact the shortfall. A 10% increase in user fees, deferring hiring a Deputy General Manager until after January 2025 and adjusting the health insurance and other benefits would provide a shortfall of approximately $67,500.

No decision on the budget was being requested at the March meeting. Additional feedback from staff and some additional dialing in on some of the benefits needs to be considered.

G. Reports

H. General Manager's Report

● **February levels**: At the end of February 2024 the static well levels were up 4 feet from the end of January 2024 levels. From February 2023 to February 2024, the well levels are down approximately 5.3 feet.

The smaller table shows static well levels located nearer to the production wells. These levels are down approximately 15.7 feet from the end of January 2024 levels. From February 2023 to February 2024, the well levels are down approximately 7 feet.

As of March 4, 2024, the Department of Environmental Quality Drought website is indicating normal conditions exist for precipitation, groundwater, reservoir levels, and stream flow. Currently, no drought watch exists for the entire Northern Piedmont Region.

● The current past-due listing is down to $7,594.24 from the past-due listing provided in the General Manager's Report, which reported the past-due balance of $9,701.13.

● Mr. Barnes**,** Louisa County Board of Supervisors asked the General Manager to obtain a price to paint or clean the 2 million gallon finished water tank at the Ferncliff Water Treatment Plant. The budgetary cost given from our tank maintenance service provider was $13,150. They have stated that the actual cost to provide the service would be around $12,000. Mr. Barnes suggested a local power washing company. Chris met with a local power washing company. They provided a cost of $9,200. The General Manager requested a price for rolling that tank into our current contract. Adding the finished water tank at the Ferncliff WTP and a hydro-pneumatic water tank at the New Bridge water facility, saves the authority approximately $7,000 in tank maintenance services.

● Legislative Update:

1) HB906 / SB480 = Utility Disconnection Bills passed the House and Senate and will go to the Governor for approval. Suspends electric, gas, water, and wastewater utilities subject to SCC regulation from disconnecting service to a residential customer for nonpayment of bills or fees during a state of emergency declared by the Governor and provides that such suspension lasts for 30 days after such declaration of the state of emergency. Suspends such electric and gas utilities from disconnecting service to a residential customer for nonpayment of bills or fees when the forecasted temperature low is at or below 32° F and suspends electric utilities from disconnecting any such customer from service when the forecasted temperature high is at or above 95° F with in the 24 hours following scheduled disconnection. The bill further suspends electric, gas water, and wastewater utilities from disconnecting residential customers from service on Fridays, weekends, state holidays, and the day immediately preceding a state holiday. Creates similar requirements for utilities owned or operated by a locality of the Commonwealth and provides customers a civil cause of action if the municipally owned or municipally operated utility fails to comply with the requirements of the bill.

2) HB1085 / SB243 = PFAS bills have passed the House and Senate and will go to the Governor for approval. Requires the owner or operator of a publicly owned treatment works to monitor PFAS levels, as defined in the bill, in effluent, influent, and biosolids at least quarterly and report all such monitoring data on an applicable discharge monitoring report required by federal regulations. The bill requires DEQ, in certain circumstances, to develop a PFAS action plan to identify and address sources of certain PFAS detected in a public water system's raw water source, perform outreach efforts regarding PFAS contamination, report annually on its activities, and work with certain entitles in developing PFAS action plans. The bill requires certain facilities that manufacture or use PFAS to report the use in such chemicals to DEQ and to monitor such PFAS at least quarterly unless another frequency at the direction of the Director of DEQ. Also directs DEQ and VDH to jointly establish a PFAS Advisory Committee to assist with PFAS-related activities and to report annually to the Governor and General Assembly.

3) HB220 = Operator bill has passed the House and Senate and will go to the Governor for approval. Water facilities; staffing; licensed operators. Requires sewage treatment works, classified waterworks, and classified water treatment facilities to employ a licensed operator. The bill establishes protocol for an unexpected vacancy of the licensed operator position. The bill also permits remote monitoring of the facility by the licensed operator upon demonstration of adequate monitoring technology.

I. Committees

PERSONNEL COMMITTEE

The Personnel Committee is scheduled for March 27, 2024. Several supplemental policies will be discussed as well as a salary range and position starting date for the Deputy General Manager position being discussed as succession planning for the General Manager's planned retirement of July 1, 2027.

J. Short Notice Items

K. Closed Session:

A. CLOSED SESSION PURSUANT TO VA. CODE SECTION 2.2-3711(A)(7) CONSULTATION WITH LEGAL COUNSEL AND BRIEFINGS BY STAFF MEMBERS OR CONSULTANTS PERTAINING TO ACTUAL OR PROBABLE LITIGATION, WHERE SUCH CONSULTATION OR BRIEFING IN OPEN MEETING WOULD ADVERSLEY AFFECT THE NEGOTIATING OR LITIGATING POSTURE OF THE PUBLIC BODY.

B. CLOSED SESSION PURSUANT TO VA. CODE SECTION 2.2-3711(A)(1) TO DISCUSS AND CONSIDER PERSONNEL MATTERS; INCLUDING THE DISCIPLINE, APPOINTMENT, ASSIGNMENT, PERFORMANCE AND SALARIES OF SPECIFIC APPOINTEES AND EMPLOYEES.

Mr. Kies made a motion to close the regular open meeting and immediately reconvene in executive closed session for consultation with legal counsel and briefings by staff members or consultants pertaining to actual or probable litigation, where such consultation or briefing in open meeting would adversely affect the negotiating or litigation posture of the public body; and to discuss and consider personnel matters; including the discipline, appointment, assignment, performance and salaries of specific appointees and employees. The motion was seconded by Mr. Smith and carried 6-0 among the members present.

RETURN TO OPEN MEETING:
Chairman Foster closed the closed session and immediately reconvened in regular open meeting at 8:11 pm.

CERTIFY:

Mr. Foster read the following statement prior to the vote to certify the closed session.

"Pam will now poll members to certify that, to the best of your knowledge, only public business matters lawfully exempted from the open meeting requirements under the Virginia Freedom of Information Act, and as identified in the motion for which the closed meeting was convened, were discussed, and considered by the Board. If any member believes that the Board varied from the purpose stated for the closed meeting, please state so and the reason prior to casting the vote." A roll call vote was requested with the following results:

Mr. Foster	YES
Mr. Smith	YES
Mr. Filer	YES
Mr. Hardy	ABSENT
Mr. Kies	YES
Mr. Morgan	YES
Mr. Wilson	YES

The motion was carried 6-0 among the members present.

Next meeting date - The next business meeting is scheduled for April 10, 2024

L. Adjournment

THERE BEING NO FURTHER BUSINESS, Mr. Smith made a motion to adjourn at 8:12 pm. The motion was seconded by Mr. Wilson and carried 6-0 among the members present.

BY ORDER OF:

Judson Foster
Chairman
LOUISA COUNTY WATER AUTHORITY